

Vidya Wires Limited — Concall Tracker

Ticker: VIDYAWIRES (BSE 544633) | Report date: 4 July 2026 | Path: CONCALL (2 transcripts read)

Read this first. Vidya Wires is a **very recent listing** (IPO December 2025). Only **two earnings-call transcripts exist** — the maiden call (Q2 FY26, 24 Dec 2025) and the Q4/full-year call (14 May 2026). Both were read for this report. A February 2026 file is only a slide deck, not a transcript, and was ignored. Because just two calls are available and they are only about five months apart, the **management-consistency read below is preliminary/limited** — there is not yet a multi-year record of "what was promised versus what was delivered."

1. Snapshot

What the business does (one line): Vidya Wires makes *winding and conductivity products* — mainly enamelled (varnish-coated) copper and aluminium wires, plus paper-insulated conductors, copper busbars and specialised items like solar PV ribbons. These are the copper/aluminium wires that go inside transformers, motors, electrical equipment and renewable-energy gear. It is India's 4th-largest player in this niche (about 5.7% market share), runs two factories in Anand, Gujarat, and earns money on the conversion charge (processing fee) it adds on top of the metal price.

Figure (FY26, year to Mar 2026)	Value	Plain-English read
Sales (revenue)	₹1,840 cr	Total sales for the year — up about 24% from ₹1,481 cr the year before.
Net profit	₹58 cr	What was left after all costs and tax — up about 41% from ₹41 cr.
Operating profit (EBITDA)*	₹86 cr	Profit from core operations before interest, tax and depreciation.
Operating margin (OPM)	~5%	Only about 5 paise of operating profit per rupee of sales — this is a thin-margin, metal-pass-through business.
Return on capital (ROCE)	21%	For every ₹100 of capital in the business it earned ₹21 — healthy despite thin margins, because capital turns over fast.
Borrowings	₹85 cr	Debt fell from ₹146 cr a year earlier — the company used ₹100 cr of IPO money to repay loans.
Reserves	₹459 cr	Jumped from ₹150 cr because the December 2025 IPO added roughly ₹274 cr of fresh capital.
Promoter holding	72.8%	Founders own nearly three-quarters of the company — high skin in the game.

*EBITDA = earnings before interest, tax, depreciation and amortisation = operating profit before financing and accounting charges. All figures from the Screener snapshot CSVs; management's own audited FY26 numbers on the May 2026 call (revenue ₹1,839.6 cr, EBITDA ₹85.8 cr, PAT ₹57.6 cr) match these.

2. Concall coverage

This is a **recent listing**, so the concall history is very short. Only two transcripts exist and both were read, oldest first:

Quarter	Call date	Type	Transcript read?
Q2 FY26 (half-year)	24 Dec 2025	Maiden (first-ever) earnings call	Yes — full
Q4 & FY26 (full year)	14 May 2026	First full-year results call	Yes — full

Coverage spans just about **five months and two calls** — the company's entire life as a listed firm. There is no earlier public earnings record to compare against, so the consistency analysis in Section 4 is necessarily preliminary.

2b. Latest concall highlights ★ — Q4 FY26 (May 2026)

- **Strong finish to the year.** Full-year FY26 revenue was ₹1,840 cr, up about 24% — meaning sales grew roughly a quarter versus last year. The March-quarter alone grew about 58% year-on-year to ₹599 cr, a big jump, though management admitted *most of it came from higher copper prices, not extra volume* (volume for the full year rose only about 6.5%, to 18,024 tonnes).
- **The new plant is finally live.** The expansion subsidiary **ALCU Industries** (ALCU = the chemical symbols for aluminium + copper) commenced manufacturing on 7 February 2026. It is in a deliberate, slow "phased ramp-up" — only about 800 tonnes made so far — so the earnings benefit is still ahead, not yet in the numbers.
- **New higher-value products introduced.** The company has started making aluminium paper-covered conductors, aluminium enamelled wires/strips, PV round ribbon (for solar), multi-paper covered copper conductors and copper busbars — products aimed at electric-vehicle, transformer and renewable-grid customers, which management says carry better margins per tonne.
- **Guidance stayed vague.** Asked directly for FY27 revenue/margin guidance, management declined to give numbers, saying only that it expects "good growth" and better EBITDA per tonne as new products ramp. Full capacity (about 35,000–36,000 tonnes) is targeted "before Diwali" (around October 2026), with the new plant reaching optimum use only in FY28.
- **Tone: confident but non-committal.** Management repeatedly emphasised the demand backdrop (power, transformers, renewables, data centres) and the margin-mix story, but consistently avoided hard targets and flagged early headwinds — higher shipping freight and the Middle East conflict (which began end-February 2026).

2c. Business mix & capacity (quick facts)

Domestic vs export split: About **88% domestic / 12% export** by volume in FY26 (management said exports are "12% of total business volume" on the May 2026 call; the maiden call put it at ~14%). Plain read: roughly nine-tenths of sales are still within India. Management's stated target is to move toward **75% domestic / 25% export** after the expansion — but note exports actually *slipped* (~14% → ~12%) between the two calls, so this is a goal, not yet a trend.

Capacity & utilization: The existing plant runs at about **90% utilization** (little headroom left — a key reason for the expansion). Total capacity is being nearly doubled from **19,680 to ~37,680 tonnes/year** via the new ALCU plant. The new plant is only partly installed (~6,000 tonnes added; the rest by around October 2026) and management guides it to just **50–60% utilization in FY27**, reaching optimum (~80%) only in FY28.

Product/metal mix: Copper ~96% / aluminium ~4% of revenue today, targeted toward ~90%/10%. By end-market: power & transmission ~51%, electricals ~27%, general engineering ~13%, renewable & EV ~7%, consumer durables ~3%.

3. Earning Trigger thesis ★

The one thing management says will grow earnings: a near-doubling of capacity (19,680 → ~37,680 tonnes) at the new IPO-funded ALCU plant, combined with a deliberate *move up the value chain* into higher-margin specialised products — continuously transposed conductors (CTC) for transformers, enamelled aluminium, PV solar ribbon, multi-paper covered conductors and copper foils — sold into fast-growing power-transmission, transformer, electric-vehicle and renewable-energy demand. The pitch is **more volume plus richer product mix = both revenue growth and margin (EBITDA-per-tonne) expansion**, with exports rising from ~12% toward 25%.

Trigger	What management said	Evidence so far	Time horizon	Strength
Capacity doubling (ALCU plant)	19,680 → ~37,680 t/yr; IPO ₹140 cr earmarked; plant to hit ~36,000 t capacity by ~Oct 2026.	Plant commissioned 7 Feb 2026, ~800 t made; ~6,000 t of capacity installed so far. Real and funded, but barely ramped.	FY27 partial, FY28 full	Moderate — concrete and funded, but the earnings lift is still almost entirely in the future.
Richer product mix / higher EBITDA per tonne	New value-added lines (CTC, PV ribbon, enamelled aluminium, copper foils) carry better margins; consolidated margin should improve.	Products launched but contribution near-zero (CTC contribution stated as "zero", starts after Oct 2026). Group OPM still ~5%, flat for years; EBITDA/tonne well below peers' ~₹66,000.	FY27–FY28+	Unproven — plausible and logical, but no margin evidence yet; the thesis rests on execution not seen so far.
Export scale-up (to 25%)	Target 75/25 domestic/export; expanded marketing team; export margins said to be better.	Export share actually fell ~14% → ~12% between the two calls.	Multi-year	Weak/early — aspiration moving the wrong way for now.
Structural demand backdrop	Power capacity to double by 2032, ₹9.16 lakh cr transmission investment, renewables/EV/data-centre pull.	Industry-wide tailwind, not company-specific; supports the story but does not prove Vidya wins share.	Multi-year	Moderate — genuine tailwind, but shared with all peers.

Read: The core trigger (a funded, commissioned capacity doubling into structurally growing end-markets) is *concrete and live* — that is a genuine positive. But the part that would make it a *durable earnings* trigger — higher margin per tonne and real volume growth — is still unproven: FY26 volume grew only ~6.5%, margins stayed flat around 5%, and the new plant and new products have contributed almost nothing yet.

4. Management Consistency scorecard

Only two calls exist, five months apart — this is a preliminary read, not a proven track record.

Period / promise made (Dec 2025)	What was actually said/done by May 2026	Verdict
New plant to start "last quarter" (Q4 FY26), in phases.	ALCU commenced manufacturing 7 Feb 2026 — within Q4, as promised. Kept the "phased ramp-up" framing.	Delivered

Capacity target ~37,680 tonnes; products 12 → ~18–20 categories.	Reaffirmed ~36,000–37,680 t and rolled out several new categories (CTC, PV ribbon, aluminium enamelled, copper foils). Story unchanged.	Consistent
IPO use: ₹140 cr capex + ₹100 cr debt repay.	₹100 cr used to repay borrowings (debt fell ₹146→₹85 cr); capex deployed in phases. As stated.	Delivered
Exports to rise toward 22–25%.	Export share actually fell to ~12% (from ~14%). Target restated but not yet moving that way.	Too-early / slipping
Working capital: cut receivable days to ~30, "hopefully positive operating cash flow next year."	Receivable days rose to ~41 (target loosened to ~35); FY26 operating cash flow still negative (–₹9 cr).	Missed / softened
Margin (EBITDA per tonne) to improve with new products.	Repeated the claim; FY26 margin edged up only ~35 bps to 4.66%; still far below peers' ₹66,000/t.	Too-early

Narrative drift: Across the two calls the *core story has stayed steady and coherent* — capacity doubling, value-added mix, structural demand — and management delivered on the concrete, checkable promises (plant on time, debt repaid). That is encouraging. However, the "softer" operational promises already show slippage in just five months: exports moved the wrong way, receivable days rose and the target was quietly loosened, and operating cash flow stayed negative. Management is also consistently reluctant to give hard guidance. With only two calls, this is not enough history to judge reliability either way.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, concrete, IPO-funded driver — the capacity doubling and move into higher-margin products, aimed at genuinely growing power/transformer/renewable demand. That is more than a story on paper: the plant is built and commissioned. But it does **not yet clear the bar for a "Yes."** The earnings impact is almost entirely in the future — the new plant has made only ~800 tonnes, key products like CTC contribute zero so far, FY26 volume grew just ~6.5%, and the margin-expansion promise remains unproven with operating margin flat at ~5% and EBITDA per tonne well below peers. It is a plausible, live driver that is still unproven — the definition of MAYBE. Watch the FY27 volume ramp and any real move in EBITDA per tonne to confirm or reject it.

Management consistent? → MAYBE (too early to tell)

On the hard, checkable commitments, management scored well: the plant started on schedule in Q4 as promised, debt was repaid with IPO proceeds exactly as stated, and the strategic story stayed steady between the two calls. But the softer operational promises already slipped within five months — exports fell instead of rising, receivable days worsened and the target was loosened, and operating cash flow stayed negative despite a "hopefully positive" promise. Crucially, **only two calls exist**, so there is simply not enough history to confirm a reliable promised-versus-delivered pattern. The honest verdict is MAYBE / too-early — genuinely positive early signs on execution, offset by minor slippage and a track record too short to trust yet.

Sources: Screener.in snapshot CSVs and two Vidya Wires earnings-call transcripts (Q2 FY26, 24 Dec 2025; Q4 & FY26, 14 May 2026). Prepared 4 July 2026. Not investment advice.